

AC4408

Financial Reporting 2

Summer 2024 Examination
Paper 1 · 1.5 hours · Question 1 compulsory, then EITHER Question 2 or Question 3 · Total 100 Marks

Module	AC4408 — Financial Reporting 2
Session	Summer 2024
Structure	Question 1 (60 marks, compulsory, two parts) plus either Question 2 or Question 3 (each 40 marks, three parts)
This scheme covers	All three questions in full — Question 1, Question 2, <i>and</i> Question 3 — so you can study both routes through the paper, not just the one you'd pick on the day

Own-figure rule. If you carry an early error into later parts of a question but apply the right method consistently from that point on, you still pick up the method marks for those later steps. This applies throughout the consolidation workings in Question 1.

Question 1 (Compulsory)

Consolidated Statement of Financial Position & IFRS 3

Part 1**50 Marks**

The following are the summary Statements of Financial Position of Nero Ltd ("Nero") and Bianco Ltd ("Bianco") as at 31 December 2023, together with:

1. Nero Ltd acquired 300,000 shares in Bianco Ltd for €400,000 on 1 January 2021, at which date Bianco Ltd had a balance on retained earnings of €25,000.
2. Included in Nero Ltd's loans receivable is one of €150,000 to Bianco Ltd.
3. Nero Ltd supplied goods to Bianco Ltd to the value of €100,000, for which it has not yet been paid. These goods cost Nero Ltd €70,000, and Bianco Ltd still had half of them in inventory at 31 December 2023.
4. At the date of acquisition, the property, plant and equipment of Bianco Ltd had a fair value which exceeded the carrying value by €20,000. At that date, the remaining life of the property, plant and equipment was four years.
5. The fair value of non-controlling interests at 1 January 2021 was €80,000. Goodwill is to be accounted for using the Full Method.
6. Goodwill has not been impaired since the acquisition date.

Required: Showing the relevant workings, prepare the Consolidated Statement of Financial Position as at 31 December 2023 for the Nero Group.

FULL MODEL ANSWER

Step 1 — Group structure. Nero holds 300,000 of Bianco's 400,000 €1 shares — a 75% holding, acquired 1 January 2021. Bianco is a subsidiary; the remaining 25% is the non-controlling interest (NCI). Three full years have passed between acquisition and this reporting date (1 Jan 2021 to 31 Dec 2023).

What "Full Method" means here. This paper's own wording for the goodwill method — "the Full Method" — is this module's name for what's more commonly called the *fair value method*: NCI is measured at its own fair value at acquisition (€80,000, given), so the goodwill that results belongs to the whole group, both Nero's 75% and the NCI's 25%, not just to Nero's shareholders. Don't confuse it with the proportion of net assets method, where NCI is measured only at its share of the subsidiary's identifiable net assets and no NCI goodwill is recognised.

Step 2a — Eliminate the intra-group loan. The €150,000 loan sits as a receivable in Nero's books and a payable in Bianco's — the group can't owe money to itself.

Dr Loans payable €150,000 / Cr Loans receivable €150,000

Step 2b — Eliminate the intra-group trade debt. Bianco owes Nero €100,000 for goods supplied. Eliminate the receivable against the payable.

Dr Trade payables €100,000 / Cr Trade receivables €100,000

Step 2c — Strip out the unrealised profit in Bianco's stock. Nero sold the goods on for €100,000 that cost it €70,000 — a profit of €30,000. Half of that stock is still sitting unsold in Bianco's warehouse at year end, so half of that profit hasn't actually been earned by the group, even though it's sitting in Nero's own books.

Unrealised profit = (€100,000 – €70,000) × ½ = €15,000

Dr Retained earnings (Nero, the seller) €15,000 / Cr Inventory €15,000

Step 2d — Revalue Bianco's PPE to fair value at acquisition, and catch up three years of extra depreciation. IFRS 3 requires a subsidiary's net assets to enter the acquisition calculation at fair value, not book value. Bianco's own books never picked up the €20,000 uplift, so the group adds it on top — and since three years have now passed on a 4-year remaining life, three years' worth of extra depreciation on that uplift has to come off too.

Depreciation on the uplift = €20,000 / 4 years × 3 years = €15,000 to date

FULL MODEL ANSWER

Step 3 — Net assets of Bianco, at acquisition and at the reporting date.

This single working feeds both the goodwill calculation and the NCI calculation below.

€'000	At acquisition	At reporting date
Ordinary share capital	400	400
Retained earnings	25	175
Fair value uplift on PPE	20	20
Less: additional depreciation on uplift (3 years)	-	(15)
Net assets of Bianco	445	580

Worth checking. The increase between the two columns ($€580,000 - €445,000 = €135,000$) is Bianco's post-acquisition profit — the figure that gets split 75:25 between the group and the NCI for the rest of this working.

Goodwill (Full / Fair Value method)

€'000	
Cost of investment	400
Fair value of NCI at acquisition	80
	480
Less: net assets of Bianco at acquisition	(445)
Goodwill at acquisition	35
Less: impairment to date	-
Goodwill at reporting date	35

Non-controlling interest at 31 December 2023

€'000	
Fair value of NCI at acquisition	80.00
NCI share of post-acquisition increase ($25\% \times €135,000$)	33.75
NCI at reporting date	113.75

FULL MODEL ANSWER

Consolidated retained earnings

€'000	
Nero Ltd, per its own SOFP	450.00
Less: unrealised profit on intra-group stock	(15.00)
	435.00
Group share of Bianco's post-acquisition increase ($75\% \times €135,000$)	101.25
Consolidated retained earnings	536.25

Worth checking. Only Nero's own retained earnings get adjusted for the stock profit — Nero was the seller, so it's Nero's reserves that were overstated. Bianco's reserves are untouched by this adjustment; they only feed in via the post-acquisition share above.

Consolidated Statement of Financial Position as at 31 December 2023

€'000	Workings	Total
Non-Current Assets		
Tangible assets	$300 + 450 + 20 - 15$	755
Goodwill	—	35
Loans receivable	$250 - 150$	100
		890
Current Assets		
Inventory	$220 + 210 - 15$	415
Trade receivables	$200 + 230 - 100$	330
Cash	$180 + 60$	240
		985
Total Assets		1,875

FULL MODEL ANSWER

Consolidated Statement of Financial Position as at 31 December 2023 (continued)

€'000	Workings	Total
Equity		
Ordinary share capital (Nero only)	—	800.00
Retained earnings	see above	536.25
		1,336.25
Non-controlling interest	see above	113.75
Total Equity		1,450.00
Non-Current Liabilities		
Long-term loans	200 – 150	50.00
Current Liabilities		
Trade and other payables	300 + 175 – 100	375.00
Total Equity and Liabilities		1,875.00

The check that matters most. Total Assets of €1,875,000 exactly equals Total Equity and Liabilities of €1,875,000. If your own attempt doesn't tie out, work back through Steps 2a–2d before assuming the goodwill or NCI figures are wrong — a missed elimination is the far more common cause.

Mark Allocation — Part 1 (50 marks)

Tier	Marks	What separates this tier
Top band	42–50	Correct goodwill, NCI and consolidated retained earnings figures, all four adjustments (loan, trade debt, stock profit, PPE fair value/depreciation) correctly applied, and a fully balancing SOFP.
Good	32–41	Goodwill and NCI correct or near-correct; one adjustment missing or misapplied (most commonly the three-year depreciation catch-up on the PPE uplift), but the SOFP still balances or is a small margin off.
Partial	18–31	Group structure and at least the intra-group loan/debt eliminations identified; goodwill or NCI method confused (e.g. proportion of net assets used instead of the Full/fair value method specified), or more than one adjustment missing.
Limited	0–17	Little more than reproducing the individual SOFPs, or a fundamental misunderstanding of consolidation mechanics (e.g. adding 100% of Bianco's share capital, or omitting NCI entirely).

Part 2**10 Marks**

Describe what is meant by "Goodwill" and describe its treatment under IFRS 3.

FULL MODEL ANSWER

What goodwill actually is. Goodwill is the future economic benefit arising from assets acquired in a business combination that are not capable of being individually identified and separately recognised — the premium paid over and above the fair value of the target's identifiable net assets. In practice, it captures things a purchase price reflects but a balance sheet can't itemise: an established customer base, staff know-how and relationships, brand reputation, and the expectation that the combined business will generate returns the sum of its separable parts couldn't on their own.

Purchased goodwill vs internally generated goodwill. The distinction matters because only one of the two is ever recognised. Purchased goodwill — arising from an actual acquisition, where a transaction sets an observable price — is recognised as an intangible asset under IFRS 3. Internally generated goodwill, by contrast, is explicitly prohibited from recognition under IAS 38, because its cost cannot be reliably distinguished from the cost of running the business as a whole; a company cannot put a value on its own accumulating reputation and put it on its own balance sheet.

Initial measurement under IFRS 3. Goodwill is measured, at the acquisition date, as the excess of (a) the consideration transferred plus the fair value of any non-controlling interest plus, in a step acquisition, the fair value of any previously held equity interest, over (b) the net of the acquisition-date fair values of identifiable assets acquired and liabilities assumed.

Subsequent measurement. Goodwill is never amortised. Instead, it is tested for impairment at least annually (and whenever there's an indicator of impairment) under IAS 36, and carried at cost less any accumulated impairment losses. Once impaired, a goodwill impairment loss can never be reversed in a later period, even if the reasons for the impairment no longer apply — this is a deliberate asymmetry compared with the treatment of most other assets.

Negative goodwill ("bargain purchase"). Occasionally the consideration paid is less than the fair value of the net assets acquired. Before recognising a gain, IFRS 3 requires the entire acquisition calculation to be reassessed — have all assets and liabilities really been identified and measured correctly? Only once that reassessment is complete does any remaining negative goodwill get credited immediately to profit or loss as a gain on bargain purchase, rather than being carried as a negative asset.

A common exam slip to avoid. Students sometimes write that goodwill is amortised "like other intangibles." It isn't — the impairment-only model under IAS 36 is one of the more frequently tested points precisely because it's easy to default to the amortisation treatment used for finite-life intangibles.

Tier	Marks	What separates this tier
Top band	8–10	Correct definition of goodwill, the purchased vs internally generated distinction (with IAS 38's prohibition on the latter), the impairment-only treatment under IAS 36, and the bargain purchase/reassessment point.
Good	5–7	Correct definition and impairment-only treatment, but omits the internally-generated-goodwill prohibition or the bargain purchase treatment.
Partial	2–4	Recognises goodwill arises on acquisition but definition is vague, or incorrectly states goodwill is amortised.
Limited	0–1	No meaningful attempt, or goodwill is confused with another intangible asset category.

Question 1 Total: 60 Marks

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Question 2

Answer EITHER Question 2 or Question 3

Part A

20 Marks

The Corporate Sustainability Reporting Directive (CSRD) entered into force on the 5th of January 2023. The directive presents new rules which will ensure that investors and other stakeholders have access to the information they need to assess the impact of companies on people and the environment. Additionally, it provides information to investors to assess financial risks and opportunities arising from climate change and other sustainability issues.

Required: Critically discuss the practical implications of CSRD for large organisations.

FULL MODEL ANSWER

Why "large" is the operative word. CSRD's size thresholds mean it lands hardest, first, on exactly the population this question asks about — large listed and large public-interest companies were the first cohort in scope, well ahead of the smaller-company phase-in. For this group, the directive isn't a future planning problem; it's a live reporting obligation with real infrastructure consequences.

Group-wide data collection becomes a genuine operational project. A large organisation typically means a group structure spanning multiple subsidiaries, jurisdictions and supply chains. Consolidating Scope 1, 2 and Scope 3 emissions, workforce metrics, and supply chain due diligence data across all of that is a materially bigger undertaking than for a single-entity SME — it usually means new group-wide reporting systems, not just an extension of the finance team's existing spreadsheets.

Double materiality assessment at group level. Large organisations must assess both how sustainability issues affect their own financial position (financial materiality) and how their operations affect people and the environment (impact materiality) — and for a diversified group, that assessment has to be performed sensibly across very different business lines, which raises real governance questions about who signs off on which judgement.

External assurance requirements scale with size. Larger entities face assurance requirements moving from limited to reasonable assurance over a shorter transition period than smaller entities. That means building audit-ready internal controls over non-financial data considerably sooner — a large organisation doesn't get the extra runway that smaller reporters are afforded.

Reputational and competitive stakes are higher. A large organisation's sustainability disclosures attract more analyst, media and NGO scrutiny than a smaller company's would — the practical implication is not just compliance risk but reputational risk if the double-materiality assessment or the underlying data doesn't hold up to that level of attention.

Verdict. For large organisations specifically, CSRD's practical implications are less about whether to comply (compliance isn't optional) and more about how quickly and credibly a genuinely complex, group-wide data and governance project can be stood up — the size that makes an organisation "large" is precisely what makes the underlying data collection and assurance task so much harder than the directive's text alone suggests.

Mark Allocation — Part A (20 marks)

Tier	Marks	What separates this tier
Top band	16–20	Addresses at least three implications specifically through the lens of scale/group structure (data consolidation across subsidiaries, double materiality at group level, accelerated assurance timeline, reputational exposure), with a critical conclusion.
Good	11–15	Covers CSRD's practical implications generally and correctly, but doesn't engage specifically with why size/group structure changes the picture for large organisations.
Partial	6–10	General awareness that CSRD increases disclosure requirements, without meaningful discussion of practical implementation implications.
Limited	0–5	Describes what CSRD is without addressing practical implications at all.

Part B**10 Marks**

On 1 January 2022, Regain Ltd began construction on a new office headquarters. It purchased a leasehold interest in the site for €50 million. The construction of the building cost €18 million and the fixtures and fittings cost €3 million. The construction of the office was completed on 1 April 2023, and it was available for use from 1 June 2023. Regain Ltd borrowed €70 million on 1 January 2022 in order to finance this project. The loan carried interest at 8% per annum. It was repaid in full on 30 November 2023.

Required: Calculate the total amount to be included in property, plant and equipment in respect of the development at 31 December 2023 under IAS 23.

FULL MODEL ANSWER

The date that actually matters here is construction completion, not "available for use." This question gives two different dates deliberately: construction completed 1 April 2023, but the office wasn't available for use until 1 June 2023. IAS 23 stops capitalising borrowing costs once substantially all the activities necessary to prepare the asset for its intended use are complete — that's the construction completion date, 1 April 2023. The later "available for use" date is the trigger for *depreciation* under IAS 16, which is a separate question from capitalisation of borrowing costs and isn't being asked here.

Capitalisation period: 1 January 2022 to 31 March 2023 — 15 months.

Interest continued to accrue on the loan right through to its repayment on 30 November 2023, but only the interest up to the point construction was substantially complete can be capitalised; anything accruing after 1 April 2023 would be expensed as a finance cost, not added to the cost of the asset.

$$\text{Interest capitalised} = €70m \times 8\% \times 15/12 = €7m$$

Total amount included in PP&E at 31 December 2023

€m	
Leasehold interest in site	50
Construction of building	18
Fixtures and fittings	3
Capitalised borrowing costs ($70 \times 8\% \times 15/12$)	7
Total carrying value	78

Why there's no depreciation deducted here. The question doesn't give a useful life or depreciation rate for the building, so no depreciation figure can actually be calculated — the €78m answer is the capitalised cost of the asset, full stop. If a useful life *had* been given, depreciation would run from 1 June 2023 (the available-for-use date) to 31 December 2023 — seven months — which is a different date again from the 1 April cut-off used for the borrowing cost calculation above. Keep those two dates and their two separate purposes distinct: 1 April 2023 governs when capitalisation of interest stops; 1 June 2023 would govern when depreciation starts, if a rate were given.

Mark Allocation — Part B (10 marks)

Tier	Marks	What separates this tier
Top band	8–10	Correctly identifies the 15-month capitalisation period ending at construction completion (not availability for use), calculates €7m interest, and sums all four cost components to €78m.
Good	5–7	Correct €78m total but with the capitalisation cut-off reasoning muddled (e.g. using the 1 June date without explaining why 1 April is actually the correct cut-off).
Partial	3–4	Correctly includes lease, building and fixtures (€71m) but miscalculates or omits the interest capitalisation.
Limited	0–2	No coherent attempt to apply IAS 23's capitalisation period rules.

Part C**10 Marks**

Briefly describe the fundamental principles of the code of ethics of Chartered Accountants Ireland.

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FULL MODEL ANSWER

Integrity. Members are expected to be straightforward and honest in all professional and business relationships — not merely avoiding outright dishonesty, but acting with fairness and truthfulness even where no one would necessarily catch a shortcut.

Objectivity. Members must not allow bias, conflict of interest, or the undue influence of others to override their professional or business judgement. This is the principle that underpins professional scepticism — approaching a client's own explanations with an appropriately critical eye rather than simply accepting them at face value.

Professional Competence and Due Care. Members have a continuing duty to maintain the professional knowledge and skill needed to provide a competent service, and to act diligently and in line with applicable technical and professional standards. Competence isn't a one-off qualification; the principle requires it to be actively maintained throughout a career, particularly as standards themselves evolve.

Confidentiality. Information acquired through professional and business relationships must be respected as confidential and not disclosed to third parties without proper authority, unless there's a legal or professional right or duty to disclose it. Members also can't use confidential information for their own personal advantage or that of a third party.

Professional Behaviour. Members must comply with relevant laws and regulations and avoid any action that discredits the profession. This principle is deliberately broad — it covers conduct that might not breach any of the other four principles directly but would still damage public confidence in the profession as a whole.

A useful shorthand. Four of the five principles (integrity, objectivity, competence, confidentiality) govern how a member does the work; the fifth (professional behaviour) governs how a member's conduct reflects on the profession more broadly, even outside a specific engagement.

Mark Allocation — Part C (10 marks)

Tier	Marks	What separates this tier
Top band	8–10	All five fundamental principles named and each correctly and specifically described, not just listed.
Good	5–7	All five, or four with accurate description, named but descriptions are thin or generic.
Partial	2–4	Two or three principles correctly identified and described.
Limited	0–1	One principle at most, or a generic answer about 'acting ethically' without naming the specific IAS 38-equivalent framework principles.

Question 2 Total: 40 Marks

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Question 3

Answer EITHER Question 2 or Question 3

Part A

20 Marks

Revenue recognition is at the core of the accounting process and is a focus of every audit.

Required: Critically discuss if you agree with the above statement, please ensure to outline the reasoning in your answer.

FULL MODEL ANSWER

Largely agree, with an important qualification

Why revenue sits at the centre of the accounting process. Revenue is the top line every other figure in the income statement is measured against — gross margin, operating margin, and most profitability ratios are all revenue-denominated. It's also usually the largest single number in the financial statements, so even a small percentage error in revenue recognition can move profit by a much larger percentage. That asymmetry, on its own, explains why revenue attracts disproportionate attention relative to its apparent conceptual simplicity ("did you sell something, yes or no").

IFRS 15's five-step model exists precisely because revenue isn't actually simple. If recognising revenue were just "record it when the invoice goes out," it wouldn't need a five-step recognition model covering contract identification, performance obligations, transaction price, allocation, and timing of control transfer. The existence of that machinery is itself evidence that revenue recognition is one of the more judgement-heavy areas of financial reporting — variable consideration, principal-versus-agent assessments, and over-time versus point-in-time recognition all require substantive estimation and judgement, not mechanical application.

It's also one of the most common areas of fraud and manipulation. Because revenue drives so many other metrics (and, often, management remuneration and covenant compliance), it's a well-documented target for earnings management — channel stuffing, premature recognition ahead of control transfer, and round-tripping arrangements are recurring patterns in financial reporting scandals. Auditing standards explicitly presume a risk of fraud in revenue recognition unless the auditor concludes otherwise, which is a formal, standard-setting-level acknowledgement of exactly the audit-focus point in the statement.

FULL MODEL ANSWER

Where the statement overreaches

Revenue is not the only area with this level of scrutiny. Asset valuation and impairment (particularly goodwill and other indefinite-life intangibles), provisions and contingent liabilities, and going concern assessments all carry comparable audit risk and comparable potential for material misstatement. A statement that revenue is "the core" of the accounting process risks understating how interconnected financial reporting actually is — profit isn't just revenue minus a mechanical set of costs; it depends equally on getting expense recognition, asset measurement and liability recognition right.

For some business models, other line items carry more genuine risk. A financial institution's audit risk sits overwhelmingly in loan loss provisioning and financial instrument valuation, not revenue recognition in the IFRS 15 sense. An insurer's risk sits in the measurement of insurance contract liabilities under IFRS 17. Revenue recognition being "the focus of every audit" doesn't hold uniformly across sectors — it's a reasonable generalisation for a typical goods/services business, but not a universal truth.

Verdict. The statement is largely right for the reasons given above — revenue's size, its judgement-heavy recognition rules, and its documented fraud risk genuinely do make it a focal point of most audits of most companies. But "at the core of the accounting process" overstates the case: expense recognition, asset valuation and liability measurement are equally essential to a complete and accurate picture of performance and position, and for some sectors (financial services, insurance) other balance sheet items carry materially more audit risk than revenue does. A well-reasoned answer agrees with the substance of the statement while resisting the absolute framing of "the core" and "every audit."

Mark Allocation — Part A (20 marks)

Tier	Marks	What separates this tier
Top band	16–20	Takes a clear position (agree/partially agree/disagree), supports it with at least three substantive reasons (size/materiality, IFRS 15 judgement, fraud risk presumption), and critically engages with the limits of the statement (other risk areas, sector variation) rather than accepting it uncritically.
Good	11–15	Clear position with reasonable supporting arguments, but limited critical engagement with counter-arguments or overreach in the statement.
Partial	6–10	States agreement or disagreement but with generic, unsupported reasoning (e.g. 'revenue is important because it's the top line' without further development).
Limited	0–5	No clear position taken, or answer describes IFRS 15 mechanics without addressing the statement itself.

Part B**10 Marks**

Ohio Ltd has issued legal proceedings against a supplier for damages of €200,000. The legal case arises as a result of faulty goods supplied by Oregon Ltd. The goods were used in the production process and, due to their inferior quality, caused significant damage to the production machinery. Estimates have been made in relation to the cost to repair the machinery at €80,000 and loss of earnings due to the disruption of supply at €120,000. Legal opinion is that it is highly likely that Ohio will win the case.

Required: Under IAS 37, explain the accounting treatment of this issue in the financial statements of Ohio Ltd.

FULL MODEL ANSWER

The first thing to notice: this is a contingent asset question, not a provision question. Ohio is the claimant here, not the defendant — it's Oregon who owes Ohio, not the other way around. It's tempting to see €80,000 and €120,000 of "costs" and reach for a provision, but a provision under IAS 37 is a liability — something *Ohio* owes to someone else. Ohio has no such obligation in this fact pattern. The €80,000 repair estimate and €120,000 lost-earnings estimate are simply the two components that add up to the €200,000 damages Ohio is claiming from Oregon ($€80,000 + €120,000 = €200,000$) — they explain how the claim was quantified, not a separate liability of Ohio's.

Why no provision arises for the repair cost or lost earnings themselves.

A provision requires a present obligation to a third party as a result of a past event, where settlement is probable and the amount can be reliably estimated. Repairing Ohio's own damaged machinery is future expenditure entirely within Ohio's own control — there's no external party Ohio is obliged to pay to make that repair happen, so it fails the "present obligation" test outright. It's recognised (expensed, or capitalised if it enhances the asset) only when the repair work is actually carried out, in the ordinary way. "Loss of earnings" isn't a balance sheet item at all — it's a description of reduced future profitability, which simply shows up as lower revenue in the periods affected; there is no separate journal entry for anticipated lost earnings.

The real question: does the €200,000 claim get recognised as an asset?

IAS 37 defines a contingent asset as a possible asset arising from past events, whose existence will be confirmed only by the occurrence of uncertain future events not wholly within the entity's control — which is exactly what Ohio's claim against Oregon is: a possible asset, contingent on a court's decision. IAS 37 is explicit that contingent assets are never recognised in the financial statements, even where the underlying inflow is probable — recognising one could result in recognising income that may never be realised. An asset (a receivable) is only recognised once realisation of the income is *virtually certain*, which is a substantially higher bar than "probable."

Applying that threshold to "highly likely." Legal opinion here is that Ohio winning is "highly likely" — language that sits comfortably within "probable" (more likely than not) but falls short of "virtually certain." "Highly likely" is not the same threshold as "virtually certain": the former still carries a meaningful residual chance of an adverse outcome, whereas the latter implies the outcome is effectively assured. On these facts, Ohio should *not* recognise the €200,000 (or any component of it) as an asset or receivable.

The correct treatment, stated plainly. No provision is recognised (Ohio owes nothing to a third party); no asset or receivable is recognised for the €200,000 claim (the "virtually certain" threshold isn't met). Ohio should instead *disclose* the claim as a contingent asset in the notes to the financial statements: the nature of the claim, an estimate of its financial effect (€200,000), and the basis for the legal opinion that recovery is probable — disclosure being required precisely because an inflow of economic benefits is probable, even though it isn't yet virtually certain.

Tier	Marks	What separates this tier
Top band	8–10	Correctly identifies this as a contingent asset (not a provision) issue, explains why no provision arises for the repair/lost-earnings figures, applies the virtually-certain threshold correctly to conclude no asset is recognised, and specifies the required note disclosure.
Good	5–7	Correctly concludes no asset is recognised and disclosure is required, but the reasoning around why the repair cost/lost earnings aren't a provision is thin or absent.
Partial	3–4	Recognises IAS 37 is the relevant standard and mentions 'probable' vs 'virtually certain' but reaches the wrong conclusion (e.g. recognises a provision for the repair cost, or an asset for the claim).
Limited	0–2	No coherent application of IAS 37's recognition criteria to the facts given.

Part C**10 Marks**

Differentiate between a joint operation and a joint venture under IFRS 11.

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FULL MODEL ANSWER

The shared starting point: joint control. Both structures are types of joint arrangement under IFRS 11 — an arrangement over which two or more parties have joint control, meaning unanimous consent is required from all the parties sharing control before decisions about the arrangement's relevant activities can be made. Where the two structures diverge is what each party's rights and obligations actually are once that joint control exists.

The distinction

	Joint Operation	Joint Venture
Rights held by each party	Rights to the <i>assets</i> , and obligations for the <i>liabilities</i> , relating to the arrangement	Rights to the <i>net assets</i> of the arrangement
What each party recognises	Its own share of the assets, liabilities, revenues and expenses, directly, line by line	A single investment, accounted for using the equity method under IAS 28
Typical legal structure	Often no separate legal vehicle, or a vehicle whose legal form doesn't confer separation of the parties' rights to assets/obligations for liabilities	Usually structured through a separate vehicle whose legal form gives the parties rights only to the arrangement's net assets
Illustrative example	Two oil companies jointly operating a pipeline, each taking its agreed physical share of the output and bearing its agreed share of operating costs directly	Two companies forming a jointly owned company to develop and sell a product, sharing only in the entity's overall net profit or loss

The test that actually decides which one applies. The classification doesn't turn on what the arrangement is called, or even primarily on whether a separate legal vehicle exists — it turns on the substance of what each party is entitled to. If a separate vehicle exists but its legal form, contractual terms, and other relevant facts and circumstances mean the parties still have direct rights to the underlying assets and direct obligations for the liabilities, it's still a joint operation, notwithstanding the separate vehicle. Only where the parties' rights are genuinely limited to a share of net assets does it become a joint venture.

Mark Allocation — Part C (10 marks)

Tier	Marks	What separates this tier
Top band	8–10	Correctly defines joint control as the common starting point, and clearly differentiates rights to assets/obligations for liabilities (joint operation) from rights to net assets (joint venture), including how each is accounted for (line-by-line vs equity method).
Good	5–7	Correctly states the core distinction but omits or is vague on the accounting consequence (line-by-line recognition vs equity method).
Partial	2–4	Recognises both are joint arrangements requiring joint control but cannot clearly articulate what separates the two categories.
Limited	0–1	No meaningful attempt, or joint operation and joint venture are treated as interchangeable terms.

Question 3 Total: 40 Marks

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